Human Resource Management - Set 3

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. Which is a characteristic of collective bargaining?
A. Flexible, dynamic and continuous process
B. Rigid one-time process
C. Individual action only
D. Compulsory third-party intervention

2. In group appraisal, the appraisee is evaluated by
A. an auditor
B. a panel of evaluators
C. the employee's family
D. a single peer

3. Arrange the three wage levels from lowest to highest.
A. Fair wage, minimum wage, living wage
B. Minimum wage, fair wage, living wage
C. Minimum wage, living wage, fair wage
D. Living wage, fair wage, minimum wage

4. The Assessment Centre method was introduced in the
A. British Railways in 1900
B. US Navy in 1950
C. Indian Army in 1947
D. German Army in 1930

5. The importance of HRM in the emerging scenario is mainly due to
A. reduction of competition and the decline in use of technology in business
B. competition, technology and the need for skilled talent
C. decrease in the need for trained employees in modern organisations
D. the abolition of labour laws governing the employment relationship

6. Stationing persons at the factory gate to dissuade workers from reporting for work is
A. gherao
B. picketing
C. lockout
D. retrenchment

7. The Hay Guide Chart-Profile method rates jobs on
A. age, gender and caste
B. price, place and promotion
C. know-how, problem-solving and accountability
D. skill, effort and conditions only

8. Which is an INTERNAL factor influencing compensation?
A. Technological change
B. Laws and regulations
C. Inflation
D. Ability to pay

9. Under the Industrial Relations Code, 2020 a Grievance Redressal Committee is required for
A. no workers
B. 1,000 workers
C. 2 workers
D. 20 or more workers

10. The tribunal set up by the Central Government for disputes of national importance is the
A. Industrial Tribunal
B. Wage Board
C. Labour Court
D. National Tribunal

11. Which is NOT among the ten pay-administration factors?
A. Ability to pay of the employer in the present financial year
B. Brand colour of the company
C. Cost of living of the employees in the area of work
D. Trade unions and their collective bargaining power in the firm

12. Which is a competency required for HR managers?
A. Operating heavy machinery
B. Cost accounting only
C. Data and HR analytics proficiency
D. Advertising design

13. Temporarily putting aside workmen, for a period no longer than the emergency, is
A. gherao
B. retrenchment
C. strike
D. layoff

14. Which is a method of TNA?
A. Price survey
B. Sales review
C. Balance sheet audit
D. Focus groups

15. Employee benefits that are not conditional on future employment are
A. short-term benefits
B. vested employee benefits
C. multi-employer plans
D. termination benefits

16. Disputes relating to the application or interpretation of an existing agreement are disputes of
A. right
B. wages only
C. interest
D. strikes only

17. Paid time off, medical insurance and company car are examples of
A. benefits
B. guaranteed pay
C. equity
D. variable pay

18. Which role of the HR manager involves linking management and employees and handling grievances?
A. Marketing coordinator
B. Conciliator / mediator
C. Financial controller
D. Statutory auditor

19. Which is a MODERN method of performance appraisal?
A. Checklist
B. Paired comparison
C. Ranking
D. 360-degree feedback

20. Career management is the
A. one-time test conducted at recruitment to decide an employee's pay grade

B. scheme of paying bonus to employees on the basis of company profit
C. continuous process of preparing, implementing and monitoring career plans
D. procedure of discharging surplus employees when the company downsizes

21. In the eight-step grievance procedure the first step is
A. Follow up
B. Appeal
C. Receive
D. Act

22. HR policies and principles contribute to
A. the increase of paperwork in the personnel department of the firm
B. effectiveness, continuity and stability of the organisation
C. rigidity, delay and confusion in the decisions taken by the managers
D. reduction in the number of employees to be recruited in each year

23. Which is DIRECT compensation?
A. Retirement plans
B. Base salary and bonuses
C. Health insurance
D. Paid time off

24. Which model adds ROI as a fifth level?
A. CIPP model
B. Phillips ROI model
C. Kirkpatrick model
D. Brinkerhoff method

25. Training is best described as
A. a wage-fixing method used to decide the pay of different jobs
B. a long-term education process aimed at the future roles of managers
C. a short-term systematic process of imparting knowledge and skills for a present job
D. a process of choosing suitable candidates from the pool of applicants

26. Human Resource Management is best described as
A. the process of acquiring, developing, motivating and maintaining a workforce to achieve organisational goals
B. the process of recording employee attendance and preparing the monthly payroll
C. the activity of selecting and installing machinery for production departments
D. the legal process of settling disputes between a company and its customers

27. Training needs analysis at the 'task' level examines
A. the age and family background of the trainees
B. the knowledge and skills required to perform the job
C. the goals, resources and the climate of the whole organisation
D. the performance gaps of the individual employees

28. Ratification of an agreement is required because
A. the company wants to avoid paying the agreed wages immediately
B. the union wants to postpone the implementation of the agreement
C. the negotiators may not have ultimate authority to decide the issues
D. the agreement has to be approved by the court before it is operational

29. The mnemonic A-D-S-G-A-M stands for
A. Appoint, Direct, Select, Govern, Assess, Manage
B. Analyse, Demand, Supply, Gaps, Action, Monitor
C. Aim, Decide, Settle, Grade, Act, Motivate
D. Audit, Draft, Study, Guide, Approve, Measure

30. A statement of the qualifications, skills and traits required of the job holder is called
A. job description
B. job enrichment

C. job specification
D. job enlargement

31. Which statement about OJT is correct?
A. It is always costlier than the off-the-job training methods
B. It is done away from the work place in a separate classroom
C. It is usually cheaper and based on learning by performing
D. It is only theoretical and has no link with the actual work

32. Under piece rate, individuals are compensated for
A. the profit earned by the company in the financial year
B. the number of units produced
C. the length of service and seniority in the organisation
D. the number of hours spent at the workplace each day

33. The last step of the performance appraisal process is
A. establishing the standards of performance for each job
B. measuring the actual performance of the employee on the job
C. communicating the standards and expectations to the employees
D. decision making / taking corrective actions

34. The mnemonic S-A-E-C-T-L lists the
A. steps of grievance handling
B. stages of selection
C. levels of bargaining
D. roles of an HR manager

35. Which is a disadvantage of collective bargaining?
A. It protects employee rights
B. It can be time-consuming and may reach deadlock
C. It promotes industrial peace
D. It builds industrial democracy

36. A merit of on-the-job training is that it
A. conducted in a classroom away from the work, with no disturbance to production
B. is practical and low cost as learning happens at the actual workplace
C. particularly suited for theoretical and conceptual knowledge only
D. free from any risk of errors or damage to machines by the trainee

37. In conciliation, a third party
A. helps the parties reach a settlement but cannot impose a decision
B. decides the dispute after a formal hearing in a labour court
C. gives a binding award that both employer and union must accept
D. closes the factory until the workers give up their demands

38. The settlement machinery sequence in the deck is
A. National Tribunal, Labour Court and conciliation in the reverse order
B. conciliation officer, board of conciliation, arbitration, Labour Court, Industrial Tribunal, National Tribunal
C. Labour Court, strike, lockout and the closure of the factory
D. Arbitration, conciliation and strike before the Labour Court

39. Job analysis is the process of
A. estimating the number of employees required in the coming year
B. collecting and analysing information about the tasks and requirements of a job
C. appraising an employee's performance and potential for promotion
D. fixing the wage rate for a job after comparing it with other jobs

40. Which technique collects anonymous expert opinions over several rounds?
A. Regression analysis
B. Delphi technique
C. Ratio-trend analysis
D. Work-study technique

41. Which is an objective of HRP?
A. Design the logo and the advertisement of the company for newspapers
B. Fix the selling prices of the products according to market competition
C. Increase the number of customers and the sales of the firm each year
D. Plan recruitment and redundancy levels in advance

42. A test that measures a candidate's potential to learn is an
A. situational test
B. personality test
C. medical test
D. aptitude test

43. Organisational analysis of training needs looks at
A. the steps involved in performing a single task in the job
B. the organisation's goals, resources and climate
C. the age, qualification and family background of employees
D. the skills of one employee compared with the job standard

44. Dearness allowance and wage revision are
A. supplementary economic benefits
B. legal remedies
C. administrative issues
D. wage-related issues

45. A relationship in which government, employers and unions all participate is
A. collective only
B. bipartite
C. tripartite
D. individual

46. The evolution of HRM is generally traced from
A. scientific management and time study to office automation
B. marketing management and sales promotion to strategic marketing
C. industrial engineering and production planning to financial management
D. welfare and personnel management to strategic human resource management

47. Which is NOT a type of selection test listed in the deck?
A. Personality test
B. Aptitude test
C. Situational test
D. Sales forecasting test

48. Rating influenced by comparison with another employee rather than the standard is the
A. horns effect
B. contrast effect
C. strictness
D. leniency

49. Systematically linking an individual's career needs with the organisation's workforce requirements is
A. job evaluation
B. collective bargaining
C. career development
D. retrenchment

50. Pension plans, gratuity and health insurance are
A. wage-related issues of bargaining
B. administrative issues of bargaining
C. forms of industrial action by the workers
D. supplementary economic benefits

Answer key - Set 3

1. **A**	11. **B**	21. **C**	31. **C**	41. **D**
2. **B**	12. **C**	22. **B**	32. **B**	42. **D**
3. **B**	13. **D**	23. **B**	33. **D**	43. **B**
4. **D**	14. **D**	24. **B**	34. **D**	44. **D**
5. **B**	15. **B**	25. **C**	35. **B**	45. **C**
6. **B**	16. **A**	26. **A**	36. **B**	46. **D**
7. **C**	17. **A**	27. **B**	37. **A**	47. **D**
8. **D**	18. **B**	28. **C**	38. **B**	48. **B**
9. **D**	19. **D**	29. **B**	39. **B**	49. **C**
10. **D**	20. **C**	30. **C**	40. **B**	50. **D**

Answers with explanations

1. Which is a characteristic of collective bargaining?

Answer: A. Flexible, dynamic and continuous process

Why correct: Collective bargaining is flexible, dynamic and continuous - terms keep being renegotiated.

B is wrong: It is not a one-time rigid event.

C is wrong: It is collective, not individual.

D is wrong: It is voluntary; third-party intervention is not compulsory.

2. In group appraisal, the appraisee is evaluated by

Answer: B. a panel of evaluators

Why correct: Group appraisal uses a panel of evaluators.

A is wrong: An auditor does not appraise.

C is wrong: Family does not appraise.

D is wrong: One peer is not a group.

3. Arrange the three wage levels from lowest to highest.

Answer: B. Minimum wage, fair wage, living wage

Why correct: From lowest to highest: minimum, fair, living.

A is wrong: Fair cannot be below minimum.

C is wrong: Living is higher than fair.

D is wrong: That order is reversed.

4. The Assessment Centre method was introduced in the

Answer: D. German Army in 1930

Why correct: The assessment centre method began in the German Army in 1930.

A is wrong: British Railways 1900 is wrong.

B is wrong: US Navy 1950 is wrong.

C is wrong: Indian Army 1947 is wrong.

5. The importance of HRM in the emerging scenario is mainly due to

Answer: B. competition, technology and the need for skilled talent

Why correct: Tough competition, fast technology change and shortage of skilled people make HRM more important.

A is wrong: Competition is increasing, not falling, and technology use is rising.

C is wrong: Modern firms need more, not fewer, trained employees.

D is wrong: Labour laws are not abolished; they still govern employment.

6. Stationing persons at the factory gate to dissuade workers from reporting for work is

Answer: B. picketing

Why correct: Picketing posts people at the gate to stop workers entering.

A is wrong: Gherao confines inside.

C is wrong: Lockout is employer closing.

D is wrong: Retrenchment is discharge.

7. The Hay Guide Chart-Profile method rates jobs on

Answer: C. know-how, problem-solving and accountability

Why correct: Hay uses three profile factors.

A is wrong: These must not be used.

B is wrong: That is the marketing mix.

D is wrong: That is the point-factor style.

8. Which is an INTERNAL factor influencing compensation?

Answer: D. Ability to pay

Why correct: Ability to pay depends on the firm's finances, an internal factor.

A is wrong: Technology change is external.

B is wrong: Laws are external.

C is wrong: Inflation is external.

9. Under the Industrial Relations Code, 2020 a Grievance Redressal Committee is required for

Answer: D. 20 or more workers

Why correct: The deck states 20 or more.

A is wrong: Not the stated threshold.

B is wrong: Not the stated threshold.

C is wrong: Not the stated threshold.

10. The tribunal set up by the Central Government for disputes of national importance is the

Answer: D. National Tribunal

Why correct: National Tribunal is central.

A is wrong: Industrial Tribunal covers wider matters.

B is wrong: Wage Board is not a tribunal.

C is wrong: Labour Court is local.

11. Which is NOT among the ten pay-administration factors?

Answer: B. Brand colour of the company

Why correct: The ten factors are pay-related.

A is wrong: Ability to pay is a factor.

C is wrong: Cost of living is a factor.

D is wrong: Unions are a factor.

12. Which is a competency required for HR managers?

Answer: C. Data and HR analytics proficiency

Why correct: Analytics skill is listed.

A is wrong: Not an HR competency.

B is wrong: Too narrow.

D is wrong: Not an HR competency.

13. Temporarily putting aside workmen, for a period no longer than the emergency, is

Answer: D. layoff

Why correct: Layoff is a temporary pause that ends with the emergency.

A is wrong: Gherao is confinement.

B is wrong: Retrenchment is permanent.

C is wrong: Strike is by workers.

14. Which is a method of TNA?

Answer: D. Focus groups

Why correct: Focus groups gather training needs.

A is wrong: Not a TNA method.

B is wrong: Not a TNA method.

C is wrong: Not a TNA method.

15. Employee benefits that are not conditional on future employment are

Answer: B. vested employee benefits

Why correct: Vested benefits are already earned regardless of future service.

A is wrong: Short-term benefits are paid soon.

C is wrong: Multi-employer plans are a plan type.

D is wrong: Termination benefits depend on exit.

16. Disputes relating to the application or interpretation of an existing agreement are disputes of

Answer: A. right

Why correct: Disputes about applying an existing agreement are disputes of right.

B is wrong: Wages only is too narrow.

C is wrong: Interest disputes are about new demands.

D is wrong: Strikes are an action, not a dispute type.

17. Paid time off, medical insurance and company car are examples of

Answer: A. benefits

Why correct: Paid leave, insurance and a car are benefits.

B is wrong: Guaranteed pay is basic salary.

C is wrong: Equity is shares.

D is wrong: Variable pay is performance linked.

18. Which role of the HR manager involves linking management and employees and handling grievances?

Answer: B. Conciliator / mediator

Why correct: A conciliator or mediator links management and employees and settles grievances.

A is wrong: A marketing coordinator handles marketing activities.

C is wrong: A financial controller manages funds and budgets.

D is wrong: A statutory auditor checks accounts, not employee issues.

19. Which is a MODERN method of performance appraisal?

Answer: D. 360-degree feedback

Why correct: 360-degree is modern.

A is wrong: Checklist is traditional.

B is wrong: Paired comparison is traditional.

C is wrong: Ranking is traditional.

20. Career management is the

Answer: C. continuous process of preparing, implementing and monitoring career plans

Why correct: Career management is the ongoing process of preparing, implementing and monitoring career plans.

A is wrong: A one-time test at recruitment is not an ongoing process.

B is wrong: Profit bonus is a reward scheme, not career management.

D is wrong: Downsizing is workforce reduction.

21. In the eight-step grievance procedure the first step is

Answer: C. Receive

Why correct: The process starts by receiving the complaint.

A is wrong: Follow up is last.

B is wrong: Appeal comes near the end.

D is wrong: Act comes after analysis.

22. HR policies and principles contribute to

Answer: B. effectiveness, continuity and stability of the organisation

Why correct: Clear HR policies and principles guide decisions consistently, giving effectiveness, continuity and stability.

A is wrong: Good policies reduce, not increase, paperwork and confusion.

C is wrong: Policies reduce rigidity and confusion, they do not create it.

D is wrong: Policies do not decide how many people to recruit.

23. Which is DIRECT compensation?

Answer: B. Base salary and bonuses

Why correct: Pay and bonuses are direct.

A is wrong: Retirement plans are benefits.

C is wrong: Insurance is a fringe benefit.

D is wrong: Paid time off is a benefit.

24. Which model adds ROI as a fifth level?

Answer: B. Phillips ROI model

Why correct: Phillips adds ROI.

A is wrong: CIPP has four components.

C is wrong: Kirkpatrick has four levels.

D is wrong: Brinkerhoff uses success cases.

25. Training is best described as

Answer: C. a short-term systematic process of imparting knowledge and skills for a present job

Why correct: Training is short-term and job-specific.

A is wrong: That is wage determination.

B is wrong: That is development.

D is wrong: That is selection.

26. Human Resource Management is best described as

Answer: A. the process of acquiring, developing, motivating and maintaining a workforce to achieve organisational goals

Why correct: HRM is the complete people function: acquiring (hiring), developing (training), motivating (pay, rewards) and maintaining (welfare, relations) employees so the organisation reaches its goals.

B is wrong: Attendance and payroll are only routine clerical tasks inside HRM, not its whole meaning.

C is wrong: Machinery selection belongs to production / operations management.

D is wrong: Settling disputes with customers is a legal / customer-service matter; HRM deals with employees.

27. Training needs analysis at the 'task' level examines

Answer: B. the knowledge and skills required to perform the job

Why correct: Task analysis studies the knowledge and skills the job requires.

A is wrong: Age and family background are irrelevant.

C is wrong: Organisational goals are organisational analysis.

D is wrong: Individual gaps are person analysis.

28. Ratification of an agreement is required because

Answer: C. the negotiators may not have ultimate authority to decide the issues

Why correct: The negotiators may not have final authority, so the members or management must ratify.

A is wrong: Ratification is not a way to delay payment.

B is wrong: The union does not ratify to postpone it.

D is wrong: A court need not approve an agreement.

29. The mnemonic A-D-S-G-A-M stands for

Answer: B. Analyse, Demand, Supply, Gaps, Action, Monitor

Why correct: ADSGAM is the HRP process.

A is wrong: Not the HRP steps.

C is wrong: Not the HRP steps.

D is wrong: Not the HRP steps.

30. A statement of the qualifications, skills and traits required of the job holder is called

Answer: C. job specification

Why correct: Job specification lists the qualifications, skills and traits the job holder needs.

A is wrong: Job description lists the job's duties.

B is wrong: Job enrichment adds depth and responsibility.

D is wrong: Job enlargement adds more tasks.

31. Which statement about OJT is correct?

Answer: C. It is usually cheaper and based on learning by performing

Why correct: OJT is practical and cheaper.

A is wrong: It is cheaper.

B is wrong: It is at the workplace.

D is wrong: It is practical.

32. Under piece rate, individuals are compensated for

Answer: B. the number of units produced

Why correct: Piece rate pays per unit produced.

A is wrong: Company profit is profit sharing.

C is wrong: Seniority is not a piece-rate basis.

D is wrong: Hours at work is time rate.

33. The last step of the performance appraisal process is

Answer: D. decision making / taking corrective actions

Why correct: After discussing results, decisions and corrective actions follow.

A is wrong: Standards are first.

B is wrong: Measurement is mid-process.

C is wrong: Communicating standards is early.

34. The mnemonic S-A-E-C-T-L lists the

Answer: D. roles of an HR manager

Why correct: Strategic, Administrative, Employee, Change, Talent, Learning.

A is wrong: Grievance steps differ.

B is wrong: Selection stages have another list.

C is wrong: Bargaining levels differ.

35. Which is a disadvantage of collective bargaining?

Answer: B. It can be time-consuming and may reach deadlock

Why correct: These are limitations.

A is wrong: That is an advantage.

C is wrong: That is an advantage.

D is wrong: That is an advantage.

36. A merit of on-the-job training is that it

Answer: B. is practical and low cost as learning happens at the actual workplace

Why correct: On-the-job training is practical and cheap since people learn at the real workplace.

A is wrong: Classroom is off-the-job.

C is wrong: It suits practical skills, not only theory.

D is wrong: Errors and damage are possible.

37. In conciliation, a third party

Answer: A. helps the parties reach a settlement but cannot impose a decision

Why correct: A conciliator persuades; the parties decide and nothing is imposed.

B is wrong: Hearing in a court is adjudication.

C is wrong: Binding awards come from arbitration/adjudication.

D is wrong: Closing the factory is a lockout.

38. The settlement machinery sequence in the deck is

Answer: B. conciliation officer, board of conciliation, arbitration, Labour Court, Industrial Tribunal, National Tribunal

Why correct: This is the stated sequence.

A is wrong: That reverses the order.

C is wrong: Lockout is not machinery.

D is wrong: A strike is not machinery.

39. Job analysis is the process of

Answer: B. collecting and analysing information about the tasks and requirements of a job

Why correct: Job analysis collects and studies facts about a job's tasks and requirements.

A is wrong: Estimating headcount is manpower planning.

C is wrong: Appraising performance is performance appraisal.

D is wrong: Fixing wage rates is job evaluation.

40. Which technique collects anonymous expert opinions over several rounds?

Answer: B. Delphi technique

Why correct: Delphi uses expert rounds.

A is wrong: Regression uses statistics.

C is wrong: Ratio-trend uses past ratios.

D is wrong: Work-study uses standard time.

41. Which is an objective of HRP?

Answer: D. Plan recruitment and redundancy levels in advance

Why correct: HRP plans staffing levels.

A is wrong: Design is unrelated.

B is wrong: Pricing is a marketing matter.

C is wrong: Customers are a marketing matter.

42. A test that measures a candidate's potential to learn is an

Answer: D. aptitude test

Why correct: Aptitude tests measure the potential to learn.

A is wrong: Situational tests measure judgement.

B is wrong: Personality tests measure traits.

C is wrong: Medical tests measure health.

43. Organisational analysis of training needs looks at

Answer: B. the organisation's goals, resources and climate

Why correct: Organisational analysis looks at goals, resources and climate.

A is wrong: Steps of a task is task analysis.

C is wrong: Personal background is irrelevant.

D is wrong: One employee vs standard is person analysis.

44. Dearness allowance and wage revision are

Answer: D. wage-related issues

Why correct: Dearness allowance and wage revision are about the wage itself - wage-related issues.

A is wrong: Supplementary benefits are pension, gratuity, holidays.

B is wrong: Legal remedies are court actions.

C is wrong: Administrative issues are seniority, grievance, discipline.

45. A relationship in which government, employers and unions all participate is

Answer: C. tripartite

Why correct: Tripartite means three parties.

A is wrong: Collective is workers as a group.

B is wrong: Bipartite has two.

D is wrong: Individual is one employee.

46. The evolution of HRM is generally traced from

Answer: D. welfare and personnel management to strategic human resource management

Why correct: HRM grew from early welfare work, to personnel management, to HRM and then strategic HRM.

A is wrong: Scientific management influenced management generally; office automation is unrelated.

B is wrong: Marketing management is a different field.

C is wrong: Engineering and production planning are not the roots of HRM.

47. Which is NOT a type of selection test listed in the deck?

Answer: D. Sales forecasting test

Why correct: Listed: aptitude, personality, situational, achievement, interest.

A is wrong: Personality is listed.

B is wrong: Aptitude is listed.

C is wrong: Situational is listed.

48. Rating influenced by comparison with another employee rather than the standard is the

Answer: B. contrast effect

Why correct: Contrast effect compares with others.

A is wrong: Horns effect: one weak quality lowers all.

C is wrong: Strictness gives low scores.

D is wrong: Leniency gives high scores.

49. Systematically linking an individual's career needs with the organisation's workforce requirements is

Answer: C. career development

Why correct: Career development links personal career needs with the organisation's workforce needs.

A is wrong: Job evaluation values jobs.

B is wrong: Collective bargaining negotiates terms.

D is wrong: Retrenchment removes surplus staff.

50. Pension plans, gratuity and health insurance are

Answer: D. supplementary economic benefits

Why correct: Pension, gratuity and health insurance are benefits beyond wages - supplementary economic benefits.

A is wrong: Wage-related issues are pay and DA.

B is wrong: Administrative issues are seniority and discipline.

C is wrong: These are benefits, not industrial action.